

If one of those companies goes bust, it simply drops out of the index and another takes its place. You probably wouldn't even notice the change. The strength of the group (the diversified spread), keeps your investment ticking along.

Diversification protects you from the 'what if' moments and smooths out the ride. That's exactly what you want when you're playing the long game.

ETFs vs mutual funds

One of the simplest ways to build your Lazy 3 Portfolio is through funds – either ETFs (lower fees, flexible, trade like shares, accessible through online platforms), or Mutual Funds, (run by a fund manager, can be slightly more expensive to have a professional in charge so you don't have to worry).

Both options can work well. The right choice comes down to what suits your style, how involved you want to be, and the options available on the investing platform you choose.

For more information, revisit [chapter 5](#) for a full breakdown.

How to tell if an investment is doing well

When you're choosing what to invest in, whether it's shares, funds or an ETF, one thing to consider is performance. Now, it's important to remember that past performance is never a guarantee of future results, but it can still give you some helpful clues when making an informed decision.

Performance shouldn't be the only thing you look at, but it's definitely part of the picture.

Looking at how an investment has performed over time can help you answer questions like:

- Has this fund or ETF shown steady, consistent growth over the long term — think 5, 10 or even 20 years?
- How has it held up during market downturns or times of uncertainty?
- Does the level of risk and volatility match your comfort zone?